money by government. These are money liable to be paid by the governments to various entities as a policy matter. For example, the government has a stake in keeping prices (inflation) at control. So, it does not allow the Oil Marketing Enterprises (OMEs) to raise prices when the price of crude oil rises in the international market. In this regard, oil marketing companies incur some losses. To bear these losses in part, the Government issues bonds to OMEs. These bonds are interest bearing and have to be paid as money at the time of maturity. When these liabilities are not considered in calculation of deficits in the budget, though are equivalent to borrowed expenditure, come to be called as off-budget liabilities.

Fiscal Slippage

If the actual fiscal deficit is more than what was expected it is called as fiscal slippage. For example in the budget, estimated fiscal deficit was 4.5 per cent but the actual deficit at the end of the financial year is 7 per cent, then it is called fiscal slippage.

Fiscal Consolidation

Fiscal consolidation refers to long term permanent strategies to eliminate deficit by increasing the revenue and reducing the expenditure. The strategies dominated by revenue increasing method are preferred.

Fiscal Destination vs Origin Principle

These principles are used in levy of indirect taxes. In destination principle the tax is levied at final destination. For example tax on the consumer. It is levied on him where he consumes irrespective of the fact where the good was produced. For example, take a sweet produced in Maharashtra but sold in Nagaland, as per destination principle tax is levied in Nagaland. In origin principle it is taxed at the origin . In this example it is levied in Maharashtra itself. GST is an example of destination-based tax and excise duty is an example of